CANON MEXICANA, S. DE R.L. DE C.V.

TITULE: **AUTOMOTIVE SUPPORT POLICY FOR SALES EMPLOYEES**					
	EFFECTIVE DATE			VERSION	
REFERENCE: RH-003/18	DAY	MONTH	YEAR	9.0	PAGINA 1 DE 7
	04	05	18		

Objective

Provide Canon Mexicana employees a program that allow them to have the necessary working tools for their activities development, as well as economic support to facilitate the performance of their duties, to meet the various expenses incurred and help them to perform their duties with the backing of Canon Mexicana.

Scope

This policy shall apply to the management levels and service staff.
Sales Representatives in the various sales departments will also have the support described in this policy.

Exceptionally, employees of other areas that are previously authorized by the Area Director and the President, will receive a car allowance of the company as a working tool.

Guidelines

I.- ASSIGNED CARS.

1. The Company will assign Canon vehicles in accordance with the following table, excluding expatriates:

Elegible Personal	Car Type
Directors Sales Sr. Managers Sales Managers Direct Service Manager	In accordance with the authorized Catalog that is in the custody of the Human Resources department
Servicio Directo	According to the Catalog authorized by level and based on service needs

DEVELOPED BY	REVIEWED BY:	APPROVED BY:
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DATE: 07/05/18	DATE: 07/05/18	DATE: 07/05/18

2. When an employee who is promoted has been assigned a company car, it will be the company's power to determine that they keep the same car until its replacement in accordance with the criteria established in the following policy.

3. The replacement will be every 4 years or completing 200,000 kilometers. However, the company is entitled to postpone replacement considering the conditions of maintenance and operation.

4. These cars can be shared with other users according to the needs of the company.

5. If the cars are assigned, the company will pay maintenance costs, extended coverage insurance, holdings, verification and legal policy of legal protection and mandatory vehicle inspection according to the color of gummed or corresponding plate. The company will not cover the costs of body wash, wax garment, or any other costs of cosmetic type, same shall be paid by the employee.

6. Maintenance services will be the responsibility of the user in accordance with the manufacturer policy carried out according to stating the policy. If the user does not request service within 100 kilometers next to the corresponding service, service and damage caused to the vehicle by this lack, shall be borne by the user.

7. The employee who has an assigned vehicle must use it to matters of the Company, and sign a document promises to **care for and preserve it in good condition**, as well as the inventory of the conditions under which the car is received. If the vehicle damage or user negligence for not having the corresponding maintenance, repair costs which results from the lack of such maintenance, will be charged to the user.

8. Repairs caused by negligence of the employee, must be in authorized by the company workshops.

9. The vehicle user is responsible for requesting the General Services Department to be carried out vehicle inspection. However, if an appointment is scheduled and the user does not deliver the vehicle, will be responsible for carrying out such verification.

10. Any fines generated by extemporaneous verification shall be the responsibility of the user.

11. It is prohibited to modify in any way the car conditions, it may not be equipped in any way, for example; aluminum wheels, sunroof, spoilers or halogen lights, speakers and car stereos.

12. Employees who are eligible for auto assignment, undertake in addition to keeping their valid driver's license form, and to respect traffic regulations whether federal or state and the Ministry of Public Security.

13. In case of committing any violation of these regulations, they are obliged to cover the amount and to complete the formalities of release personally delivering photocopy of it to the Department of General Services.

14. When, due to the negligence of the employee, a legal representative of the company requests to go to release the car, the company will be entitled to charge the employee the representative's time

15. Canon reserves the right to request any user to transfer the use of the unit assigned to another employee, temporarily or permanently, without liability.

II. COMPANY CARS PURCHASE.

At the end of the cars use or replacement under this policy, the user can acquire by purchase the unit.

The sale price will be determined by the Accounting department, based on the blue book value, but giving a discount for the user to purchase is on conditions for more favorable than those prevailing in the market.

III. ACCIDENT OR THEFT

In case of accident, the employee must follow the instructions of the unit use regulations of the Company and inform to their immediate supervisor, the Human Resources and General Services departments delivering the accident report.

In case of partial theft suffer as plugs, mirrors etc., these are not covered by insurance so the employee shall endeavor to park the vehicle in a safe place. In case of theft of these pieces should be covered by it same.

If the employee does not have a valid license and any claim not covered by the insurance company occurs, the employee shall be liable to the Company and / or third parties, to cover all damages and expenses incurred by the sinister.

To apply the deductible per loss or theft the following criteria are followed:

1. If the accident or theft is in working hours without user negligence (according to report) Canon will pay 100% deductible.
2. If the accident or theft is outside working hours or on days off, without user negligence Canon will pay 50% deductible.
3. If the accident or theft is negligent user, it will pay the deductible and additionally may be suspended use of the vehicle for the time established by the Committee of Sinister or permanently.

Sinister Committee shall consist of the President, the Chief Financial Officer and Senior Managing Director.

If the employee leaves the Company for any reason, the car will be reassigned to another person.

If, for work reasons, the vehicle is required to be provided to another Canon employee, the employee who has the assigned car must loan it for as long as it is required.

During the time that the user has custody of a company car, will be responsible for taking necessary measures to safeguard as far as possible, the unit integrity. The user must take into account the same security measures it would take in case of an own vehicle, so employees agree to park it in a safe place and not leave valuables in sight. In case of theft or damage to objects owned by the company, caused by breach of the above mentioned, the user will be responsible for replacement.

IV. GASOLINE PAYMENT

The Company will pay $ 1.98 pesos per kilometer for official activities.

BISG Field Technical Service Engineers will receive one monthly reimbursement through gas vouchers according to their consumption.

Sales Representatives will receive an initial amount of $ 1,000 in gasoline vouchers, which will be subject to expenses verification or refund.

Field Technical Service Engineers and Sales representatives must submit to the General Services department the monthly report of expenses verification with the signatures properly authorized, before day 25 of during the current month. The General Services department will be responsible for transferring the corresponding amounts during the first days of each month.

The gasoline consumption will not be paid in any of the following routes: employee's house-work-house of the employee.

Management employees, except expatriates, will receive support for gasoline in accordance with the following table:.

Position	Monthly Amount
Directors	$2,000
Sr. Managers	$1,750
Managers	$1,000

V. ECONOMIC AID FOR INSURANCE PAYMENT AND MAINTENANCE.

This feature may be provided to Sales Representatives of commercial departments previously authorized to receive financial aid, provided they have indefinite contract and using their own cars as a work tool, subject to compliance with quotas semiannual sales that they are established for the previous semester.

For purposes of this policy, the term compliance with quotas by 100% of the quotas established for the immediately preceding semester.

1. Financial assistance of $ 18,500.00 (eighteen thousand five hundred pesos) annual taxable. This feature will from indefinite contract and is not retroactive.

Employees who enjoy this benefit, are obliged to use his own car for daily work activities at Canon Mexicana, additionally undertake to maintain in good mechanical and physical conditions and to submit your car insurance with comprehensive coverage of it.

2. For this benefit the employee must fill out the application form, obtain the corresponding authorization signatures and submit supporting documents to its name of expenses incurred, with payment for reimbursement through payroll and to deplete the amount of annually.

This benefit can not be accumulated, that is, if an employee does not use it for a year, or is partially used, he will not have the right to request that he be paid the aid of the previous year.
3. To be eligible for this payment, eligible employees are obliged to have their license updated motorist, delivering photocopy Payroll department as well as documents to his name, proving maintenance costs, insurance payments and holding to cover the amount of $ 18,500.00

4. The purpose of this aid is that employees actually remain in good condition their vehicles.

5. This assistance maintenance installation does not include luxury accessories or tinsmith and painting works. Likewise, the vehicle must be registered to the employee or spouse (a), both the circulation card, invoice and other documents.

6. Payment of fines and surcharges as well as procedures for release of vehicles infringement, theft or accident, are borne by the employee.

VI. ECONOMIC AID TO PAY THE HITCH TO BUY NEW CARS.

Canon has as a requirement that all sales representatives have a car, so this provision will be provided, when they have a minimum seniority of six (6) months from the date of admission and subject to compliance semiannual sales quotas that are established.

1. Employees who obtain this benefit undertake to use their car for work every day.

   The aid consists of the down payment for the purchase of a new or pre-owned automobile (agency or individual) with a maximum age of 2 years or less to 49,999 kilometers in the amount of $ 25,000.00 (twenty-five thousand pesos) net, the payment will be made via payroll and can be requested once every five years. For purposes of this policy, 5 years must have been fulfilled. No proportional advances may be requested.

   In case of purchase of a car owned by a private individual, the employee is obliged to make the change of owner within 15 (fifteen) working days following the one in which the purchase is made.

2. The employee shall undertake in writing to stay at least two years at Canon Mexicana, if withdrawn before the deadline for any reason, it will be deducted from your settlement or separately pay the proportional amount by the number of months that he did not comply two years, according to the following:

   Example: Employee receives $ 25,000.00
   he retires to the twelve months of receiving aid
   25,000 / 24 = 1041.66 x 12 months = $ 12.500
   figure liquidates

   If the employee is promoted to sales manager and if you are assigned company car, money given as aid must be returned, using the above formula within a period of 6 months without interest.

3. To be eligible for this benefit, the employee will fill a request for down payment, annex format and deliver a copy of the invoice or letter bill and their name just as the engagement letter to the Department of General Services.

VII. RESPONSABILITIES

User

1. Check the physical and mechanical condition of the car and that is carried out verification of contaminants bound by the Ministry of Environment and Ecology on the dates established for that purpose. In the event that the vehicle is not verified on the date to be carried out, the corresponding fine must be paid by the vehicle user.

2. In the case of assigned cars, requesting maintenance thereof, to report failures or problems to be repaired in accordance with the policy of the manufacturer, of not doing so the cost of repairing the vehicle will run at the user.

3. Use the formats set out in the regulations for use of cars for different reports.

Human Resources

1. Administer these features, providing the same to eligible employees, which shall carry out the verification of compliance with the conditions for payment.

General services

1. Administer the Company vehicles fleet, which shall perform the following actions:

a) To safeguard the documents relating to the car,
b) Maintain units cover insured and timely tax payments tenure and verification of automobiles.
c) Conduct periodic audits to verify the physical condition of the cars.